Sl. No. 4

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Virtual Hearing)

PRESENT: SHRI RAJEEV BHARDWAJ – MEMBER (JUDICIAL)
: SHRI SANJAY PURI – MEMBER (TECHNICAL)

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 06.11.2024 AT 01:00 P.M.

TC/CP. Nos.	Present stage of the case	Section/Rule	Name of Parties
CA(CAA)/2/230/AMR/2024	For Orders	230 to 232	M/s Haragovind Enterprises Pvt Ltd (Transferor Company) Vs M/s Hyderabad Institute of Oncology Pvt Ltd

ORDER

Present: Mr. M. Parameswara Reddy, Ld. Counsel for the applicant.

Orders pronounced. CA(CAA)/2/230/AMR/2024 is allowed and recorded vide separate sheets.

Sd/-
SANJAY PURI
MEMBER (TECHNICAL)

Sd/-
RAJEEV BHARDWAJ
MEMBER (JUDICIAL)

Venkatesh & RSN

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,
AMARAVATI BENCH AT MANGALAGIRI

CA (CAA)/2/230/AMR/2024

In the matter of the Companies Act, 2013
AND
In the matter of Section 230 to 232 of the Companies Act, 2013 Read with Rule 3 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016
AND
In the matter of Scheme of Amalgamation Between M/s Haragovind Enterprises Private Limited (Transferor Company) and M/s. Hyderabad Institute of Oncology Private Limited (Transferee Company) and their Respective Shareholders.

Haragovind Enterprises Private Limited
(CIN: U85195AP2015PTC096073)
D.No.6-5-82, Ground Floor,
Chukkapalli Towers, 5th Lane,
Arundalpet, Guntur, Andhra Pradesh – 522002
...Applicant / Transferor Company

Date of Order: 06.11.2024

Coram:

SHRI RAJEEV BHARDWAJ, MEMBER (JUDICIAL)
SHRI SANJAY PURI, MEMBER (TECHNICAL)

For the Applicant Company : Mr. M. Parameswara Reddy, Advocate

ORDER
(Per: Bench)

1. The present Application has been filed by the Applicant/Transferor Company under Sections 230 to 232 of the Companies Act, 2013 read with Rule 3 of the Companies (Compromises, Arrangements and

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Amalgamation) Rules, 2016 seeking an order to dispense with the holding of the meeting of the Shareholders, Secured creditors and unsecured creditors of the Transferor Company, in view of the consents given by them, for sanction of the proposed scheme of Amalgamation and considering the sound financials and solvency of the merged entity as also for the facts and circumstances as sated and also to dispense with the publication of notice in newspapers, since there is no public interest involved.

2. The Registered Office of the Applicant/Transferor Company is situated in the State of Andhra Pradesh and therefore, it is within the jurisdiction of this Tribunal. The Registered Office of the Transferee Company is situated in the State of Telangana.

3. Brief facts leading to the filing of present case are as follows:

   a) M/s Haragovind Enterprises Private Limited, Applicant/Transferor Company was incorporated as a private limited company under the Provisions of the Companies Act, 2013 on 22.01.2015. As on 31.03.2024[1], the Authorized share capital of the Transferor Company is Rs.5,00,00,000/- divided into 50,00,000 Equity shares of Rs.10/- each and issued, subscribed and paid-up capital is Rs.5,00,00,000/- divided into 50,00,000 equity shares of Rs.10/- each. Subsequently, after 31st March, 2024, the company's authorized and issued, subscribed, and paid-up capital was restructured. As of 15th September, 2024, the Authorized Share Capital increased to Rs.10,00,00,000/- divided into 50,00,000 Equity shares of Rs.10/- each and 50,00,000 Preference Shares of Rs.10/- each and the Issued,

[1] Page No.155 of the Application

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Subscribed and Paid-Up capital increased to Rs.6,30,00,000/- divided into 50,00,000 equity shares of Rs.10/- each and 13,00,000 Preference Shares of Rs.10/- each.

b) The main objects of all the Transferor Company is to establish, construct, erect, maintain , run, manage, develop, own, acquire, purchase, undertake, improve, equip, promote, initiate, encourage, subsidise and organize, hospitals, dispensaries, clinics, diagnostic centers, polyclinics, pathology, laboratories, research centers, operation theatres, chemist shops, blood banks, eye banks, nursing homes, physiotherapy centers, investigation, centers including ultra-modern medical facilities for diagnoses and treatment of various diseases and establishments for providing treatment; trading of Medical & Diagnostic Equipment's and to run Hospitals, Medical Colleges including Nursing and Pharmacy; to carry on the business as an investment Company specially to invest in shares of any kind, stock including debenture, secured, unsecured and any other kind of securities whether marketable or otherwise, bonds, loans, bills, hundies company deposits etc., of any company; to borrow or raise money in such manner as the company, shall think for and in particular by issue of debentures (perpetual or otherwise convertible or non-convertible) and to secure the repayment of any money borrowed, raised or owing by mortgage charge or lien upon all or any of the company's property (both present and future), including its uncalled capital and also by similar mortgage of lien to secure and guarantee the performance by the company or any other person or body corporate of any obligation undertaken by the company or any

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other person or company, as the case may be, subject to the directives of the Reserve Bank of India.

4. **Rationale of the Scheme**[2]:

The Merger aims to combine the resources of the companies involved, leveraging these assets to their mutual benefit and achieving economies of scale, leading to cost savings and operational efficiencies that benefit all stakeholders. By uniting procurement, technology, administration, and marketing operations, the Merger is expected to generate synergies that enhance overall productivity. This consolidation will foster integration and flexibility, maximizing shareholder value and improving the competitive standing of the Transferee Company. Additionally, merging administrative and marketing functions is anticipated to streamline operations, resulting in more efficient, cost-effective management.

The increased financial strength from the Merger will enable further growth and development for the Transferee Company, while simplifying the entity structure and shareholding within the group. This consolidation is expected to sharpen management focus, foster uniform corporate policies, and improve decision-making speed and effectiveness. The reduction in costs due to focused operations, elimination of administrative redundancies, and optimal resource allocation will strengthen internal controls, making them more efficient and effective. Business synergies from the combined operations will provide greater flexibility and a stronger financial foundation for future growth and expansion.

[2] Page No.350 to 352 of the Application

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Moreover, the Merger will reduce duplicative regulatory and procedural compliance requirements, conserving time, resources, and costs associated with these obligations. Ultimately, this Scheme stands to benefit shareholders, creditors, employees, and all related parties, aligning with the best interests of the companies involved.

5. The Board of Directors of the Applicant/Transferor Company, in their respective Board Meeting held on 27.05.2024[3], unanimously approved the Scheme of Amalgamation between the Transferor Company and the Transferee Company, with the appointed date set as 01.04.2023.

6. It is stated that no investigation or proceedings have been instituted or are pending in relation to the Applicant Company.

7. The Applicant Company has filed its Registered Valuer's Report dated 30.06.2024 [4] stating that Authorised Share Capital of the Transferor Company is Rs.10,00,00,000/- divided into 1,00,00,000 equity shares of Rs. 10/- each and the Paid Up Capital is Rs.6,30,00,000/-, consisting of 50,00,000 fully paid-up equity shares of Rs.10/- each and 13,00,000 fully paid-up preference shares of Rs. 10/- each.

8. The Applicant Company has submitted an Independent Auditor's certificate dated 20.09.2024[5], confirming that the proposed accounting treatment in the companies' books, as specified in Clause 12 (Accounting Treatment), complies with Accounting Standard-14 as notified by the Central Government and aligns with Section 133 of the Companies Act, 2013.

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[3] Page No.385 & 386 of the Application
[4] Page No.389 of the Application
[5] Page No.466 of the Application

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9. The Applicant/Transferor company has submitted an Independent Auditor's certificate dated 20.09.2024, confirming that as of 30.04.2024, there are Three (3) Equity shareholders, collectively holding 50,00,000 equity shares of Rs.10/- each, along with One (1) Preference Shareholder, holding 13,00,000 fully paid-up equity Shares of Rs.10/- each. All the Shareholders have given their consent on the form of affidavits[6], agreeing to the proposed scheme.

10. The Applicant/Transferor company has submitted an Independent Auditor's certificate dated 20.09.2024[7], confirming that as of 30.04.2024, there are Two (2) Secured Creditors, with a debt of Rs.28,35,71,143/-. The Secured Creditors have given their consent on the form of affidavits[8], agreeing to the proposed scheme.

11. The Applicant/Transferor company has submitted an Independent Auditor's certificate dated 20.09.2024[9], confirming that as of 30.04.2024, there are ten (10) Unsecured Creditors, with a debt of Rs.3,69,46,891/-. The Unsecured Creditors have given their consent on the form of affidavits[10], agreeing to the proposed scheme.

12. Heard the submissions made in this regard by Mr. M. Parameswar Reddy, Advocate appearing for the Applicant Company and the relevant documents filed have been thoroughly reviewed.

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[6] Page No.409 to 417 of the Application
[7] Page No.464 of the Application
[8] Page No.418 to 423 of the Application
[9] Page No.465 of the Application
[10] Page No.424 to 463 of the Application

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ORDER

13. It is noted that all the Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company have given their consent affidavits, agreeing to the proposed Scheme of Amalgamation. Therefore, in accordance with Section 230(9) of the Act, the meetings of all Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company are dispensed with.

14. It is noted that there is no public interest involved in the Applicant Company, therefore, the publication of notice in newspapers is dispensed with.

15. In compliance of sub section(5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, the Applicant Company shall send notice under section (3) of Section 230 read with Rule 6 of the Rules with a copy of the Scheme, the explanatory statement and the disclosures mentioned in Rule 6 to (a) the Central Government through the Regional Director, South Eastern Region; (b) the Registrar of Companies, Andhra Pradesh' (c) the Income Tax Authorities; and (d) the Official Liquidator. The said notices be sent either by Registered Post or by Speed Post or by Hand Delivery at the Offices of the authorities as required by sub rule (2) of Rule 8 of the Rules. The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this Tribunal within period of 30(thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme.

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16. In the event of the Applicant company approaching this Tribunal seeking approval of the Scheme, it would be open for any person who is interested in the scheme to put forth his/their contention(s) before the Tribunal.

Accordingly, the Company Application i.e., CA(CAA)/2/230/AMR/2024 is allowed and disposed of.

Sd/-

SANJAY PURI
MEMBER (TECHNICAL)

Sd/-

RAJEEV BHARDWAJ
MEMBER (JUDICIAL)

Swamy Naidu